

The Domino Effect in Pennsylvania's Health Insurance Market

Tracing the causal chain from federal subsidy expiration to severe enrollment attrition and regulatory whiplash (2025–2027)



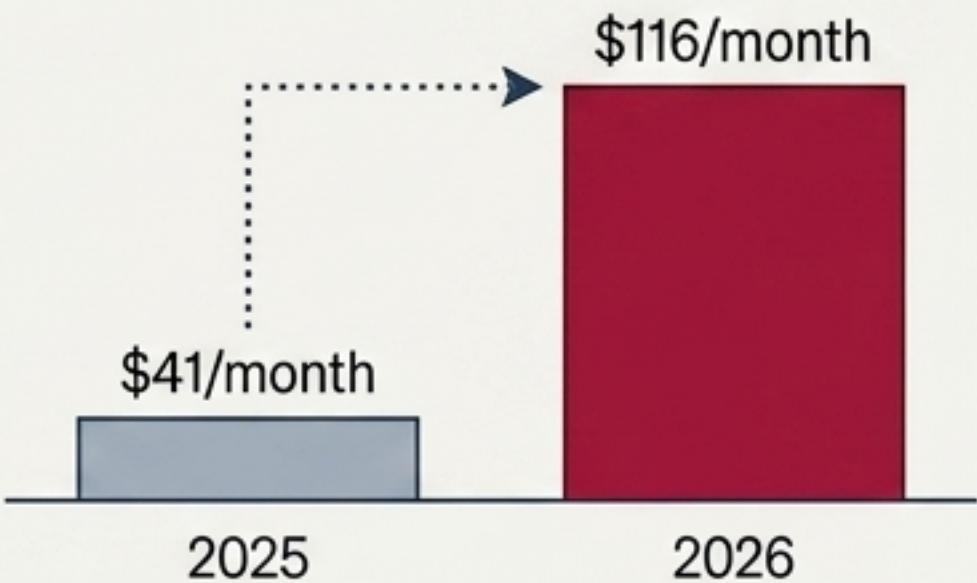
A single federal policy shift triggered a cascade of compounding market pressures.



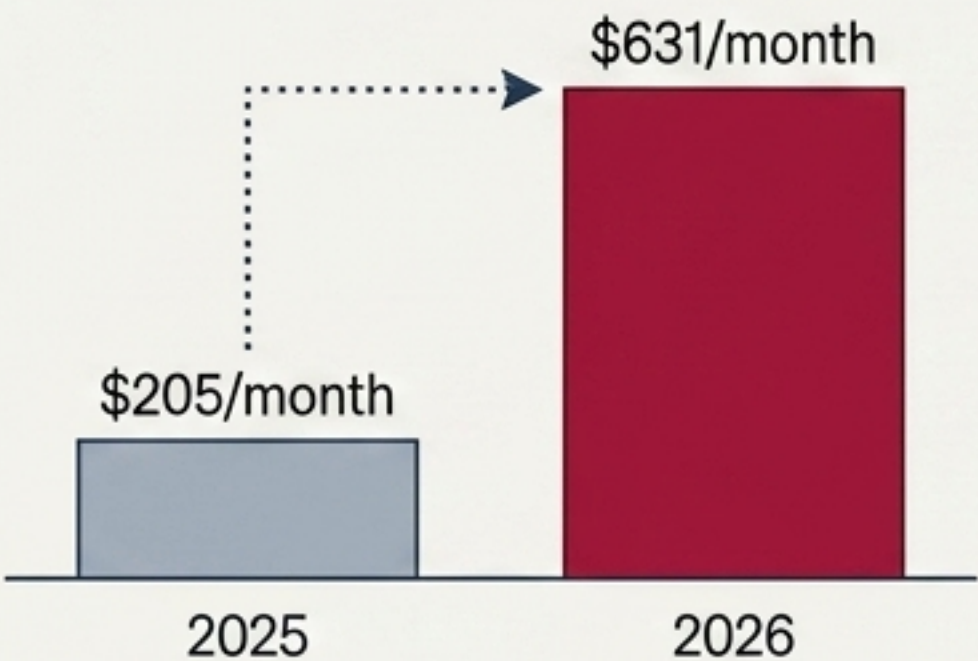
The expiration of enhanced premium tax credits created an immediate 102% affordability shock.

On December 31, 2025, pandemic-era federal premium subsidies expired. By January 1, 2026, Pennie enrollees experienced an average premium payment increase of approximately 102%, establishing the historical context for all subsequent market behavior.

Panel A: 40-year-old earning \$40,000



Panel B: 60-year-old earning \$63,000



2025-12-31 to 2026-01-01

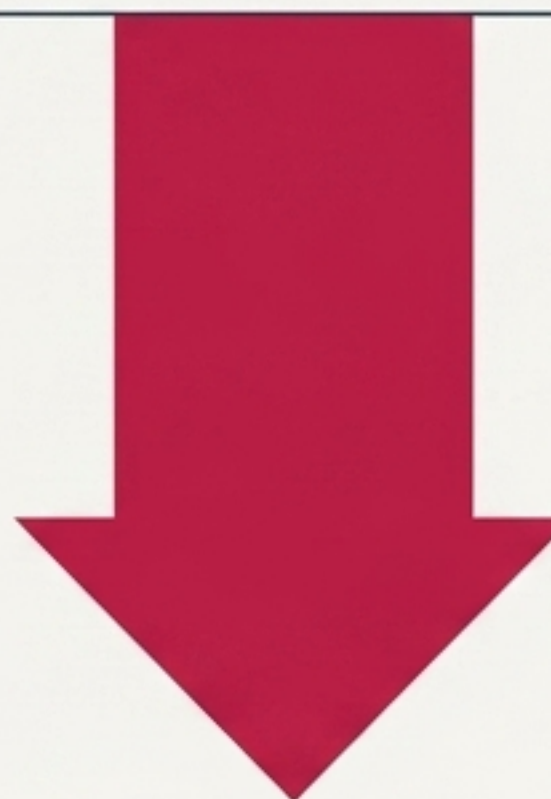
The 2026 Open Enrollment period closed with an unprecedented spike in non-effectuations.

New Enrollees



While Open Enrollment 2026 closed on January 31 with 486,000 active enrollments, a separate reporting category revealed approximately 85,000 individuals selected coverage but failed to complete the steps or payments required for it to take effect.

85,000
consumers



Dec 2025

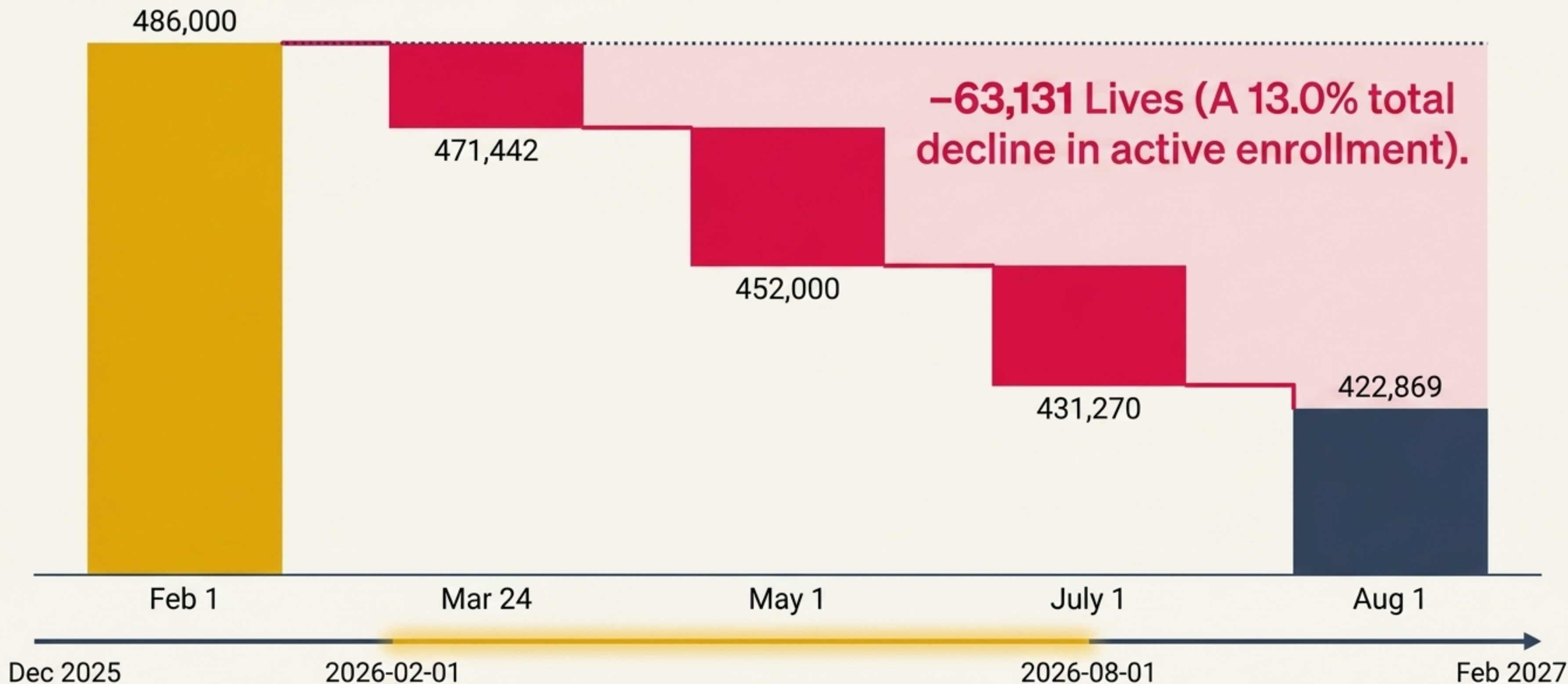
2026-01-31

Feb 2027

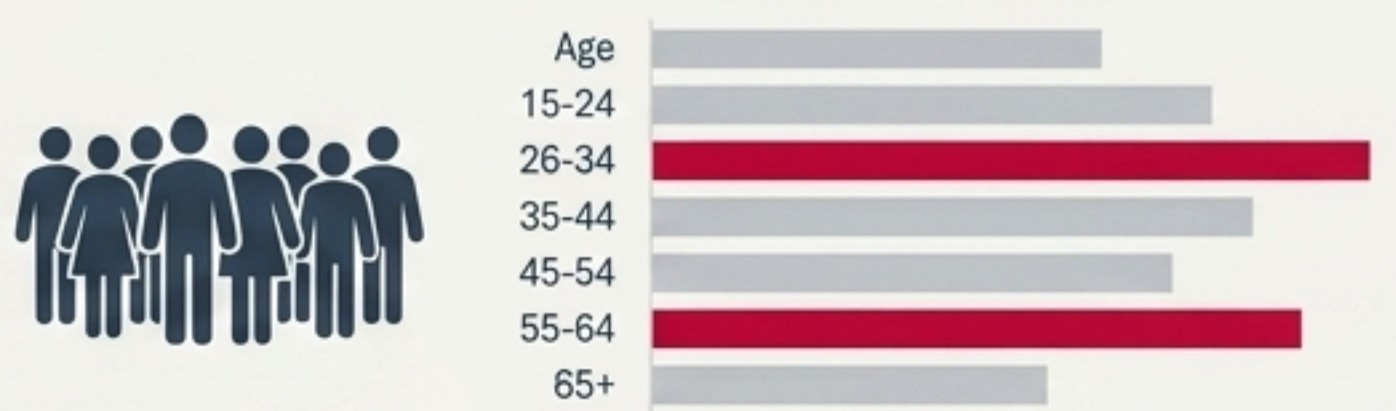
Source: Pennie (2026).

Gemini Notebook

Active enrollment severely degraded over a six-month period following the affordability shock.



The attrition disproportionately stripped younger workers and pre-Medicare populations from the risk pool.

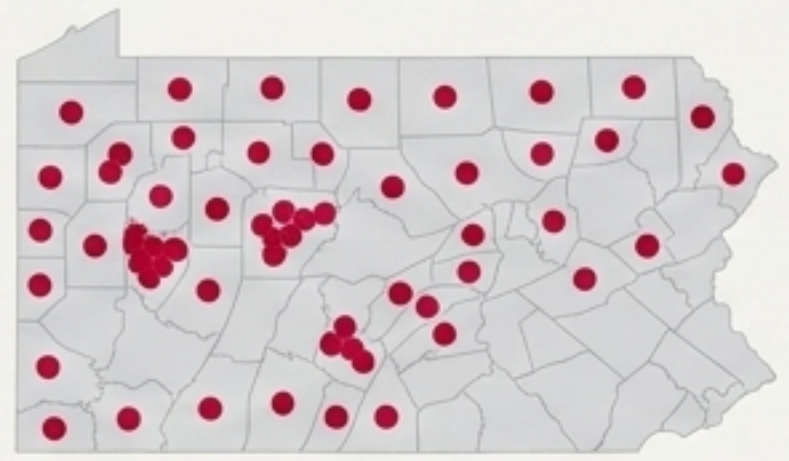


The Healthy Risk Drain: The highest levels of disenrollment were concentrated in young, working households (26-34) and pre-Medicare households (55-64).



Earning between 150% and 250% of the Federal Poverty Level (exactly \$23,940 to \$39,900 for an individual) faced

The Income Squeeze: Households earning between 150% and 250% of the Federal Poverty Level (exactly \$23,940 to \$39,900 for an individual) faced the highest termination volumes as subsidies vanished.



Geographic Reversal: 15 of the top 20 counties for proportional disenrollment were rural, entirely reversing the enrollment gains made during the enhanced subsidy era.

Pennie preemptively contracted the 2027 Open Enrollment window to comply with new federal limits.

Around March 1, 2026, the Pennie board voted to drastically shorten the upcoming Plan Year 2027 Open Enrollment period.

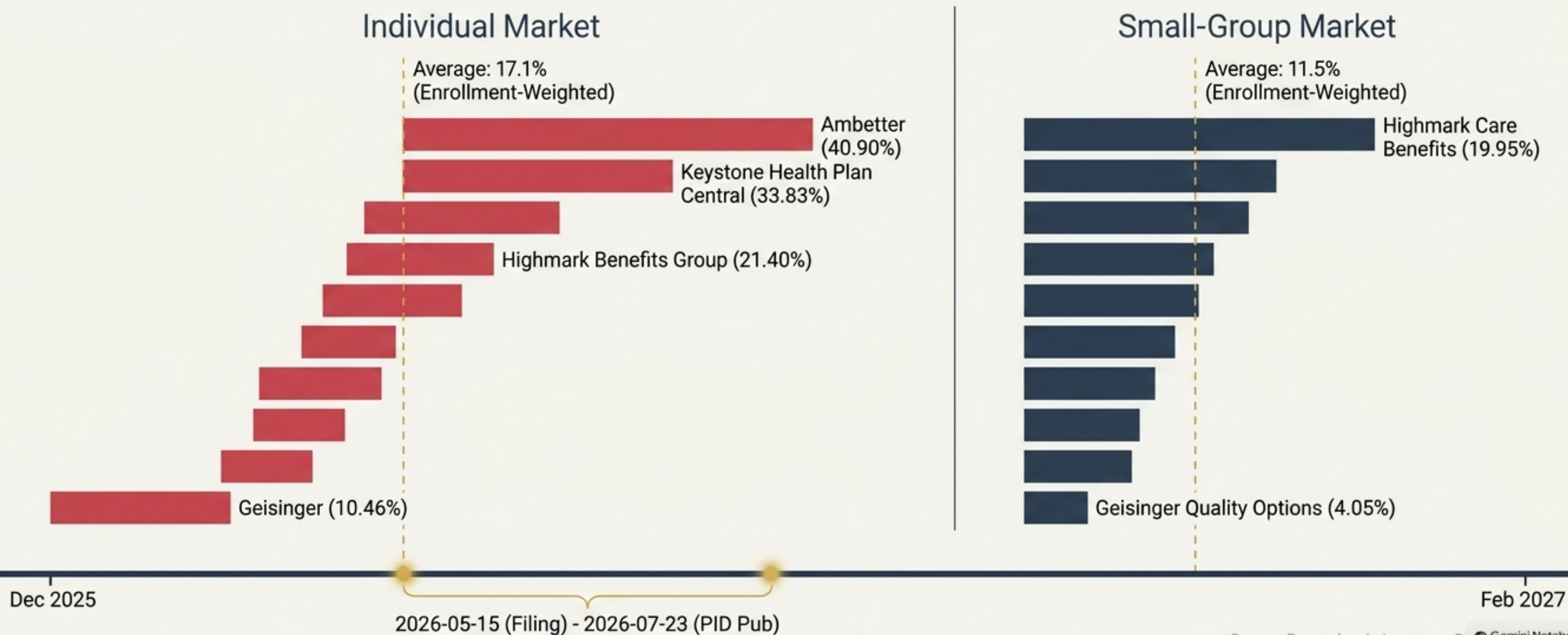


Context: This proactive state-level adjustment was made to strictly conform to the federal nine-week limit instituted for state exchanges, severely compressing the time consumers would have to navigate the escalating premium environment.

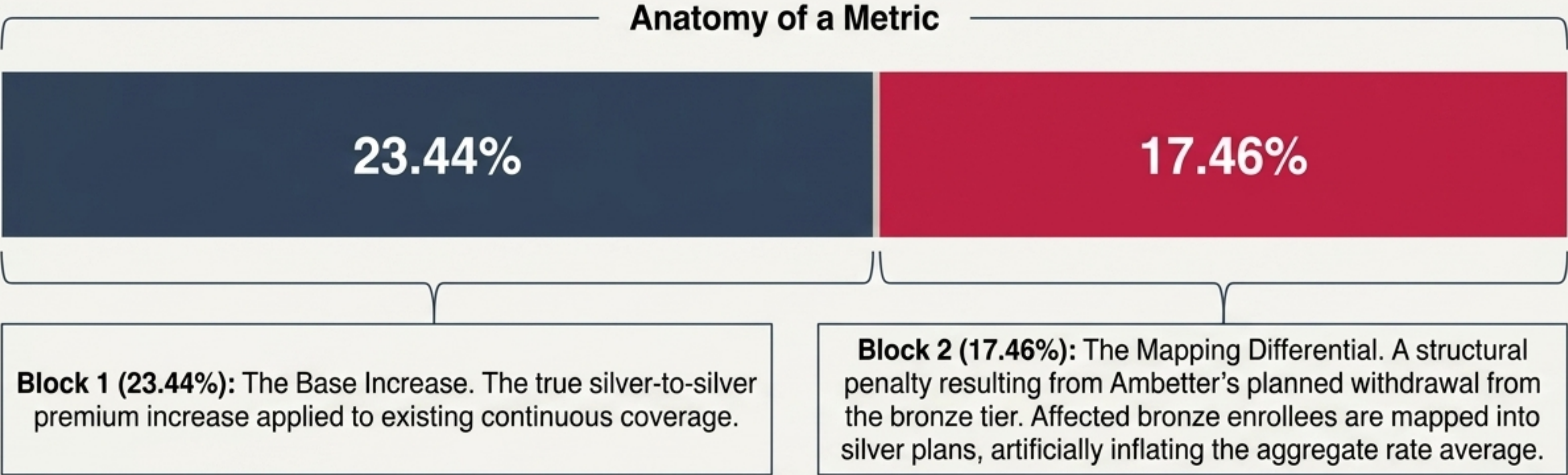


Facing a deteriorating risk pool, insurers filed aggressive rate increases for Plan Year 2027

By the May 15 regulatory deadline, carriers priced the observed winter and spring attrition directly into their 2027 filings, resulting in a 30.44 percentage point spread between the highest and lowest individual market requests.



Decomposing the extreme outlier: Ambetter's 40.90% individual market request



Synthesis: This figure cannot be interpreted as a uniform premium increase for every current Ambetter member, but rather a reflection of product discontinuation and forced upward tier mapping.

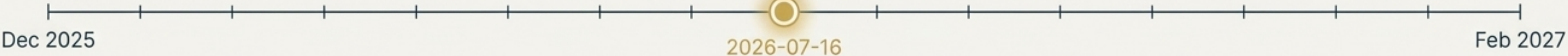
A federal district court unexpectedly voided the restricted open enrollment parameters

On July 16, 2026, the U.S. District Court for the District of Maryland granted plaintiffs' motion for a stay in City of Columbus v. Kennedy (Columbus II).



Impact Summary

- The ruling immediately halted provisions of the 2027 Notice of Benefit and Payment Parameters.
- Crucially, it invalidated the federal nine-week duration limits that had forced Pennie's March scheduling contraction.



The Schedule Whiplash: Pennie restores the traditional 15-week enrollment window.

Context: Following CMS guidance acknowledging the Columbus II stay, Pennie rapidly reversed its prior board action, publicly confirming the restoration of the traditional calendar to guarantee maximum consumer access.

The 9-Week Rule (Voided)



The 15-Week Schedule (Restored)



Dec 2025

2026-07-25

2026-07-31

Feb 2027

The August Reality Check: Measuring the cumulative damage to the Pennsylvania market.



108,000

Post-OE Coverage Losses

Subtext: Consumers who fully effectuated but subsequently dropped coverage after Open Enrollment 2026 closed.



>191,000

Cumulative Cancellations

Subtext: The absolute broader measure of attrition, combining post-enrollment drops with the 85,000 initial open-enrollment non-effectuations.



102%

Premium Burden

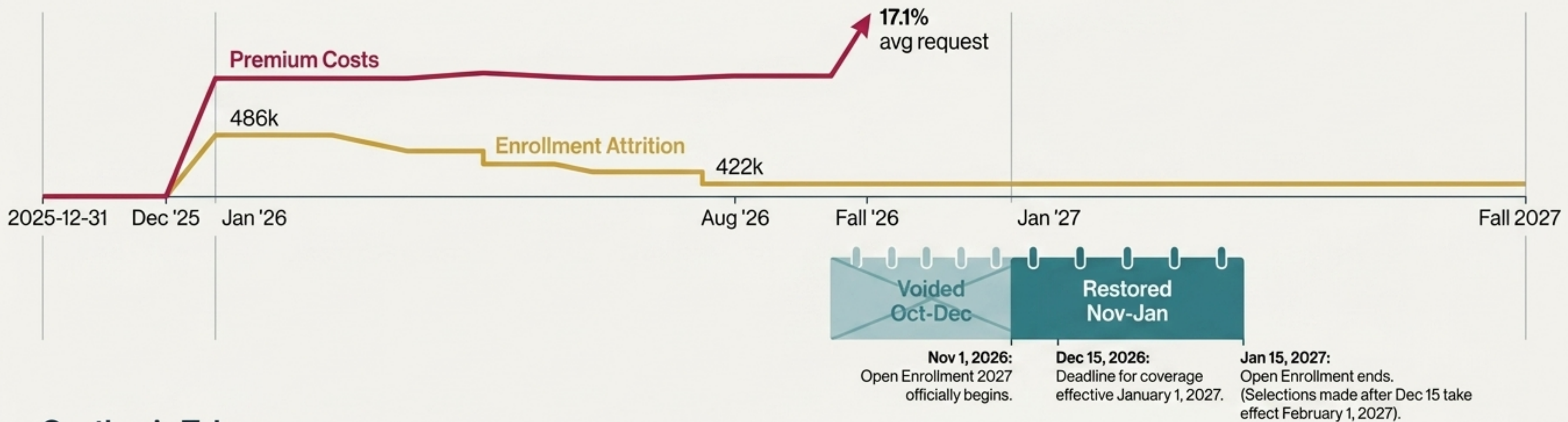
Subtext: The persistent affordability hurdle driving the ongoing exodus, remaining entirely unchanged from January.

Dec 2025

2026-08-10

Feb 2027

The 2026-2027 Market Cycle: A confluence of cost shocks, risk pool degradation, and regulatory instability.



Synthesis Takeaways

The Cause

The expiration of federal subsidies dictated the market reality, immediately doubling out-of-pocket premiums.

The Effect

Insurers priced the resulting 13% active enrollment attrition into heavy 2027 rate requests, signaling further affordability pressures ahead.

The Environment

State authorities were forced to navigate this volatility while reacting to unpredictable, litigation-driven reversals in federal operating rules.

Looking Forward: Proposed rates remain subject to PID review, with final approved 2027 rates expected to be published in Fall 2026 before the restored November 1 Open Enrollment launch.